NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- V)

C.A.(CAA)-58/ND/2022

IN THE MATTER OF:

SCHEME OF ARRANGEMNT OF DEMERGER:
OF
Newage Capital Services Private Limited
Registered office:
4th Floor, Punjabi Bhawan,
10, Rouse Avenue, New Delhi - 110002
... Applicant No.1 /Demerged Company

INTO

Newage Ranch Private Limited
Registered office:
Punjabi Bhawan,
10, Rouse Avenue, New Delhi - 110002
... Applicant No.2 /Resultant Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 12.09.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. P.S.N PRASAD, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

PRESENT:
For Applicants : Adv. Avinash Tripathi

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ORDER

PER – SHRI P.S.N PRASAD, MEMBER (JUDICIAL)

Under consideration is the Joint Petition No. C.A.(CAA)58/ND/2022 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made is to dispense with convening and holding the meeting of Shareholders, Secured Creditors in relation to the Demerged and Resultant Companies and Unsecured creditors in relation to Resultant Companies. To pass directions for calling and convening meetings of the Unsecured creditors of the Demerged Company. Thereafter for approval of the 'Scheme of Demerger', which shall take effect from the Appointed Date of 01.04.2022.

2. That Newage Capital Services Private Limited (hereinafter referred to as the "Demerged Company"), having CIN no. U74899DL1994PTC062782 is a private limited company incorporated under the Erstwhile Companies Act, 1956 on 17.11.1994. The registered office of the Demerged Company is situated at 4th Floor, Punjabi Bhawan, 10 Rouse Avenue, New Delhi - 110002. The authorised share capital of the company is Rs.85,00,000/- divided into 8,50,000 Equity shares of Rs.10 each and the Issued, Subscribed and Paid-up share Capital of the company is Rs.2,51,880/- divided into 25,188 Equity shares of Rs.10 each.

3. That Newage Ranch Private Limited (hereinafter referred as the "Resultant Company") having CIN no. U70109DL2022PTC394214 is a private limited company incorporated under the Companies Act, 2013 on 30.10. 2020.The registered office of the Resultant Company is situated at Punjabi Bhawan, 10, Rouse Avenue, Delhi- 110002. The authorised share capital of the company is Rs.1,00,000/- divided into 10,000 Equity shares of Rs.10 each and the Issued, Subscribed and Paid-up share Capital of the company is Rs.1,00,000

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divided into 10,000 Equity shares of Rs.10 each.

4. That the present Petition has been jointly filed by the Demerged and the Resulting Company (together hereinafter they are referred as 'Applicant Companies'). The Registered offices of the Applicant Companies are situated in Delhi and therefore, the jurisdiction lies with this Bench.

5. It is seen from the record that the Board of Directors of the respective Applicant Company vide separate Board meetings held on 01.04.2022 have unanimously approved the proposed 'Scheme of Demerger'.

6. It is stated by the Applicant Company that the aforesaid Scheme of Demerger will result in the following advantages:

(i) "Streamlining the operating structure.

(ii) Recognizing the growth potential of the business of purchasing, Selling and Developing any type of Land" in the backdrop of the fact that Demerged Company's fixed assets have matured and the associated risks have reduced significantly as well, Resulting Company is proposing to consolidate this vertical as it feels that this will create a new platform for it go to the next level of performance.

(iii) The shareholders of the Demerged Company, pursuant to the demerger, will get Equity Shares of the Resulting Company for the values of Business transferred in the manner set out under this Scheme.

(iv) The management believes that the proposed demerger will result in creating enhanced value for shareholders and will also allow a focused strategy and specialization for sustained growth.

(v) The demerger will also result in Demerged Company and Resulting Company achieving op efficiencies by streamlining of the relevant businesses.

(vi) Transfer of "Business undertakings pertaining to the fixed assets" of the Demerged Company to the Resultant Company would enable both the divisions to run and operate independently and in

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a more cohesive manner so as to run profitably and attract potential collaborators for the future growth and development of business by both the Resultant Company as well as the Demerged Company.

(vii) The said transfer of "Business undertakings pertaining to the fixed assets" would provide greater flexibility and visibility on the operational and financial performance of both the divisions and would provide higher degree of independence as well as accountability.

(viii) The proposed demerger is likely to create synergies by consolidated ownership and will result in achieving a simple and transparent ownership structure.

(ix) The proposed demerger will result in migration of entire division of Business undertakings pertaining to fixed assets into one consolidated legal entity and will allow for greater operational flexibility in the market with greater brand recognition, improved agility and enhanced competitiveness resulting in flexibility in the market with greater brand recognition, improved agility and enhanced competitiveness resulting in better market share and improved capacity utilization.

(x) In order to achieve efficiency of operations and management and with the intent of realigning the business operations undertaken by the Demerged company, the management of the Demerged Company has decided to concentrate on, and strengthen its core competencies and have greater focus and create more value for its primary business segments, in the interest of maximizing the overall shareholder value by demerging the "Business undertakings pertaining to the fixed assets" to the Resultant company. Further, the management of the Resultant Company is of the view that the consolidation of the Business undertakings pertaining to the fixed assets with itself would improve the respective competency of the Resultant Company and assist the Resultant Company in achieving greater values for itself.

(xi) The proposed demerger would attain more beneficial results for the shareholders, and creditors of the Companies, and will not prejudice the interests of any concerned member/ creditor or general public at large.

(xii) The demerger will enable the Resultant Company to gain from the

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economies of scale and core expertise and integration of operations cum resources.
Accordingly, it is decided by the board of the respective companies to demerge the Business undertakings pertaining to the fixed assets of the Demerged Company into the Resultant Company."

7. That the Applicant Companies have filed their Affidavits in compliance of Section 230(2)(a) of Companies Act 2013 submitting therein that no prosecution/ investigation/ inquiry under Companies Act 2013 is pending against either of the Applicant companies.

8. That the Applicant Company have also placed on record the Certificate from the Statutory Auditors conforming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act 2013.

9. That the Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have filed their latest Audited Balance Sheets as on 31.03.2021 and unaudited balance sheets as on 31.03.2022.

10. That the position regarding Shareholders and Creditors and their Consent through Affidavits approving the Scheme of Demerger is summarized below:

Company	No. of Share holders	Percentage of Shareholders given Consent	No. of Secured Creditors	Consent given	No. of Unsecured Creditors	Percentage of Unsecured Creditors given Consent (in value)
Newage Capital Services Pvt. Ltd.	5	100%	Nil	N.A.	1	100%

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(Demerged Company)						
Newage Ranch Pvt. Ltd. (Resulting Company)	2	100%	Nil	N.A.	Nil	N.A.

11. **With respect to the Demerged Company, it is submitted in the joint petition that:**

a) It is having 5 equity shareholders, Certificate from Chartered Accountants certifying list of shareholders is annexed and all of them have given their respective consents by way of affidavits which are annexed to the petition. Therefore, the requirement of convening/holding the Meetings of Shareholders in respect of the Demerged Company is dispensed with as prayed for in the joint petition.

b) It is further represented that the Company has nil secured creditor. Therefore, the necessity of convening and holding a meeting of Secured Creditors of the Demerged Company does not arise.

c) It is further stated that the company has 1 Unsecured Creditor. Certificate from Chartered Accountants certifying list of Unsecured Creditor is annexed and the sole unsecured creditor has given its respective consents by way of affidavit which is annexed to the petition. Therefore, the requirement of convening/holding the Meetings of Unsecured Creditor in respect of the Demerged Company is dispensed with as prayed for in the joint petition.

12. **With respect to the Resultant Company, it is submitted in the joint petition that:**

a) It is having 2 equity shareholders, Certificate from Chartered Accountants

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certifying list of shareholders is annexed and both of them have given their respective consents by way of affidavits which are annexed to the petition. Therefore, the requirement of convening/holding the Meetings of Shareholders in respect of the Resultant Company is dispensed with as prayed for in the joint petition.

b) It is further represented that the Company has nil secured and Unsecured creditor. Therefore, the necessity of convening and holding a meeting of Secured and Unsecured Creditors of the Resultant Company does not arise.

13. In terms of the above order the C.A.(CAA)/58/2022 first motion joint petition is allowed.

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(RAHUL BHATNAGAR)
Member (T)

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(P.S.N PRASAD)
Member (J)